objective criterion for performance. On 11 February – one month after the Sixth Congress – the Council of Ministers passed a decree on the planning and management of the national economy. Ulbricht retained central control, while weight was laid on profit, worker incentives and quality output. A few months later, on 24 June, the ‘Neues Ökonomisches System’ (New Economic System or NES) was officially born. It turned over to industrial executives a measure of decision-making once reserved for SED apparatchiks and proved much more daring than anything Honecker or other ‘old hands’ could have ever imagined. New flexibility gave managers the liberty to set production schedules, determine the range of items manufactured and adjust their firms to market conditions. To help craft and implement the scheme, Ulbricht cultivated the support of intellectuals like Dr Erich Apel and Dr Günter Mittag, two young economists who worked with zeal.

Born in Thuringia in 1917, Apel trained as a tool fitter and mechanical engineer. During the war, he worked alongside Wernher von Braun on Nazi doodlebugs and later turned down an offer from Braun to accompany him to the USA. Instead, he was interned by the Soviets and became involved in their missile programme as chief engineer until 1952. After returning to the GDR, he was appointed Minister of Mechanical Engineering at the age of 35. Günter Mittag, a boundlessly vain, pathologically ambitious diabetic, was slightly younger. Born in Szczecin in 1926, he trained at the Reichsbahn and then studied economics before rising in the ranks of the SED.

Once the NES fuse was lit, Ulbricht dissolved the National Economic Council (in which individual areas dominated entire branches of industry) and formed the State Planning Commission headed by Apel, who promised better living standards and expressed his intention to buy more machinery from the West. At the same time, Ulbricht created a plethora of new ministries for industry, headed by men between 35 and 45 years old. In Berlin, a ‘Central Institute for Socialist Economic Management’ was founded, which morphed into a kind of communist business school. The SED discovered hitherto neglected topics such as sociology. Speaking to the press about the reforms, Apel said ‘energetic and purposeful’ methods were needed to deal with ‘lazy bones and shirkers’ in state-run industries.10